MEMORANDUM

TO: Senior Management, Maple Leaf Assurance

FROM: Solomon Sserwanga, Internal Audit

DATE: 9th August 2025

SUBJECT: Data-Driven Audit of Canadian Federal Government Contract Spending: Key Findings and Recommendations

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1.0 Executive Summary

This memo presents the results of a data-driven audit of Canadian federal government contract spending. The audit, conducted using publicly available data from the CanadaBuys award notices dataset, was designed to assess potential risks, compliance issues, and areas for improvement in federal procurement. The analysis focused on non-competitive contracts, spending patterns, and department-specific compliance.

The analysis identified a significant number of contracts, particularly non-competitive awards, that are concentrated at fiscal year-end, which suggests a "use-it-or-lose-it" spending behavior. Furthermore, the audit uncovered a potential risk of departments avoiding competitive thresholds by awarding a high number of contracts just below the $25,000 limit. Based on these findings, we have developed a set of actionable recommendations to enhance transparency and improve value for money in federal contracting.

2.0 Background and Methodology

This audit was initiated in response to a new government focus on transparency and value for money. I used the "CanadaBuys award notices" dataset, acquired from the Government of Canada's Open Government Portal, for the 2024-2025 fiscal year.

The methodology involved the following steps:

Data Acquisition and Preparation: The raw data was downloaded and we performed extensive data cleaning to address missing values, inconsistent formatting, and duplicate entries.

Below is a summary of the data cleanup process.

1. Columns names were edited to remove the french words and duplicated columns were deleted.
2. Date columns were converted to the datetime datatype for easier analyse.

3. Inconsistencies were found and addressed in the categorical columns. These were mostly related to the columns with address details like country and province. These inconsistencies included variations in spelling, capitalization, extra spaces, and non-standard entries
4. A total of seven columns that had more than 70% of the values missing were deleted. These columns had mostly legacy data no longer used and address details that were being duplicated.
5. Some contract values had negative numbers, and these were converted to the absolute figures as they were mostly likely numerical errors.

This was then followed by the Data transformation process and below is the summary.

1. The difference between contractEndDate and contractStartDate was calculated and stored in the contractDuration column.
2. A total of ten columns were converted to the category datatype for better analysis
3. The text fields (title and awardDescription) were standardized by converting them to lowercase, removing leading and trailing whitespace, and replacing 'nan' strings with None.

- **Audit Objectives & Hypotheses:** I formulated five specific audit objectives and hypotheses to guide the analysis. These focused on identifying over-reliance on non-competitive contracts, assessing compliance with spending thresholds, and investigating year-end spending.
- **Analysis and Visualization:** Using Power BI, I performed a series of analytical procedures to test the hypotheses and derive key insights. The findings are supported by detailed visualizations.

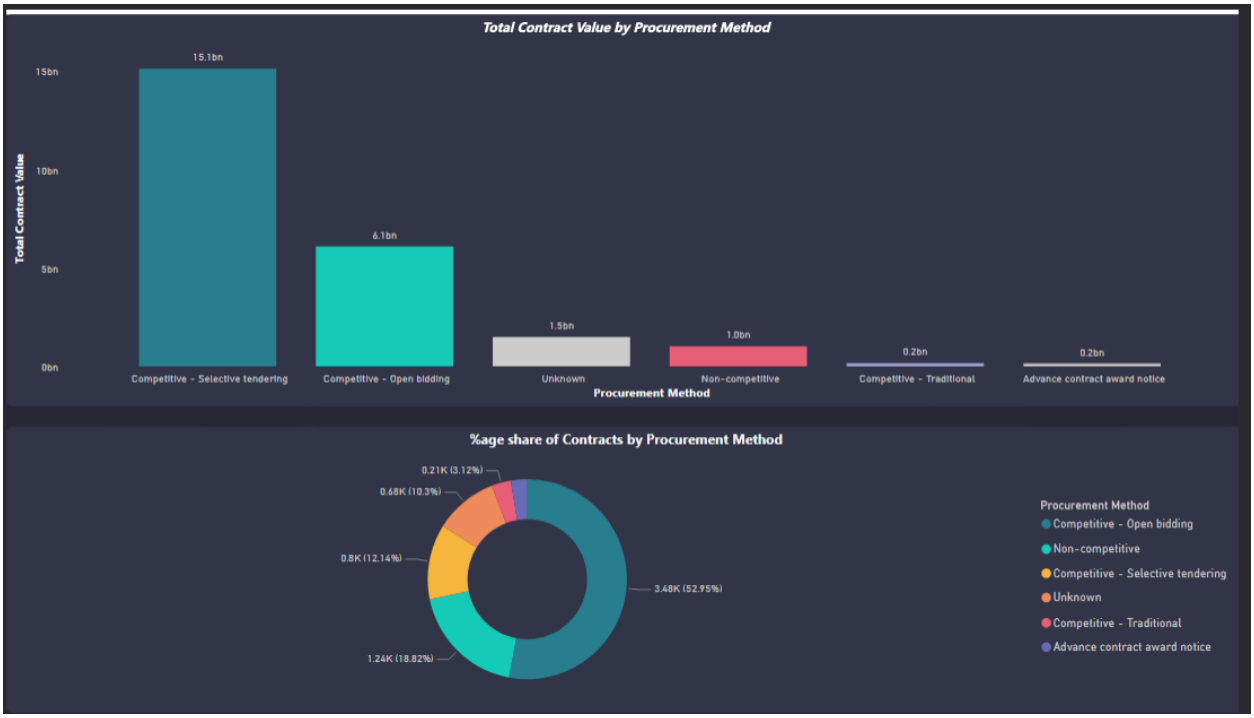
3.0 Key Findings

Based on the analysis, I have identified the following key insights:

Hypothesis 1: *A significant proportion of contracts awarded use non-competitive (sole-source) methods, indicating potential over-reliance on single suppliers and potential non-compliance with competitive procurement policies where applicable.*

The analysis for Hypothesis 1 confirms that a significant proportion of contracts, specifically a substantial number of awards, are made using non-competitive methods. This indicates a potential over-reliance on single suppliers and raises questions about compliance with competitive procurement policies.

Supporting Evidence: As shown in the visuals, while non-competitive contracts represent a smaller portion of the total contract value at $1.0 billion, they account for a significant 18.82% of the total number of contracts awarded.



This finding warrants further investigation into why nearly one-fifth of all contracts are awarded without a competitive process. While not all non-competitive awards are problematic, this high volume suggests a potential risk of bypassing competitive bidding, which could lead to suboptimal value for taxpayer money.

Hypothesis 2: *Certain contracting entities consistently award contracts or amendments that, in aggregate or individually, are just below established competitive procurement thresholds, potentially to avoid more rigorous competitive processes.*

The analysis for Hypothesis 2, using the $25,000 threshold, revealed that several contracting entities award a significant number of contracts just below this limit. This pattern could indicate a potential risk of departments structuring procurements to stay below competitive thresholds and avoid more rigorous processes.

Supporting Evidence: As shown in the table 1, contracting entities like Public Works and Government Services Canada and Export Development Canada (EDC) award a very high percentage of their total contracts below the $25,000 threshold.

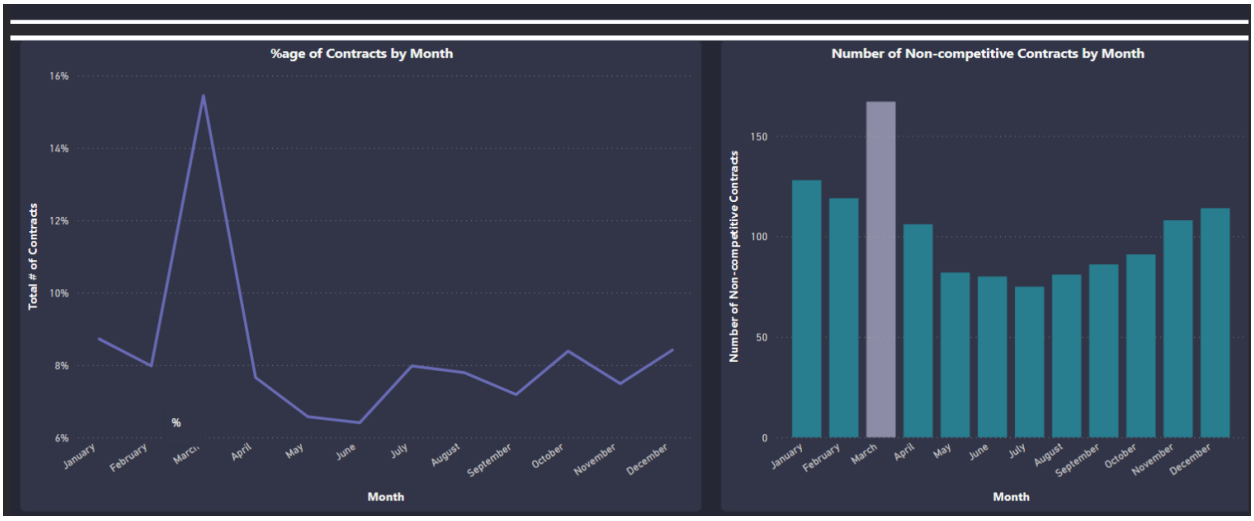
Contracting Entity	# of Total Contracts	# of Direct Award Contracts < $25K	% of Direct Awards < $25k	Number of Non-competitive Contracts	% of Non-competitive Contracts
Export Development Canada - EDC	42	42	100.0	33	78.6%
Public Works and Government Services Canada	219	217	99.1	148	67.6%
Business Development Bank of Canada	56	56	100.0	29	51.8%
Public Services and Procurement Canada (PSPC)	130	14	10.8	59	45.4%
Department of Public Works and Government Services (PSPC)	4038	1304	32.3	947	23.5%
Health Canada	22	2	9.1	2	9.1%
National Defence Headquarters	15	4	26.7	1	6.7%
National Defence	68	26	38.2	1	1.5%
Royal Canadian Mounted Police	78	20	25.6	1	1.3%
Department of National Defence	232	105	45.3	1	0.4%
Agriculture and Agri-Food Canada	82	26	31.7		
Canada Deposit Insurance Corporation	14	12	85.7		
Canadian Space Agency	16	8	50.0		
Correctional Service Canada	96	4	4.2		
Correctional Service of Canada	13	2	15.4		
Correctional Services Canada	20	6	30.0		
Department of Fisheries and Oceans	13	5	38.5		
Department of Foreign Affairs, Trade and Development	28	18	64.3		
Department of Foreign Affairs, Trade and Development Canada	11	2	18.2		
Department of National Defense	36	3	8.3		
DGAEPM	33	2	6.1		
Directorate Maritime Procurement	14	14	100.0		
Employment and Social Development Canada	16	2	12.5		
Farm Credit Canada (FCC)	27	27	100.0		
Fisheries and Oceans Canada	130	45	34.6		
Hector Vargas	17	17	100.0		
National Research Council Canada	95	2	2.1		
Natural Resources Canada	81	10	12.3		
Parks Canada	126	22	17.5		
RCMP	30	10	33.3		
Shared Services Canada	102	56	54.9		
Sophie Turgeon	12	11	91.7		
Total	5912	2094	35.4	1222	20.7%

While not conclusive proof of intentional splitting, this pattern warrants further audit scrutiny to ensure compliance with procurement regulations and assess whether these low-value, non-competitive awards are justified and not a means to bypass a more rigorous competitive process. This is an area where an audit could focus to ensure compliance with procurement regulations and assess whether these low-value, potentially non-competitive awards are justified.

Hypothesis 3: *There is a statistically significant increase in the number and/or value of contract awards occurring in the weeks leading up to the fiscal year-end (March 31st), suggesting potential 'use-it-or-lose-it' spending behaviors rather than needs-based procurement*.

The analysis provided strong evidence of a concentration of contract awards, both in terms of count and value, in the month of March, particularly towards the end of the month.

Supporting Evidence: As illustrated in Figure 3, a sharp spike in the percentage of total contracts and the number of non-competitive contracts is visible in March. The line chart on the left shows that March accounts for a significant portion of all contracts awarded, while the bar chart on the right highlights that March has the highest number of non-competitive contracts. This dual pattern warrants further investigation.

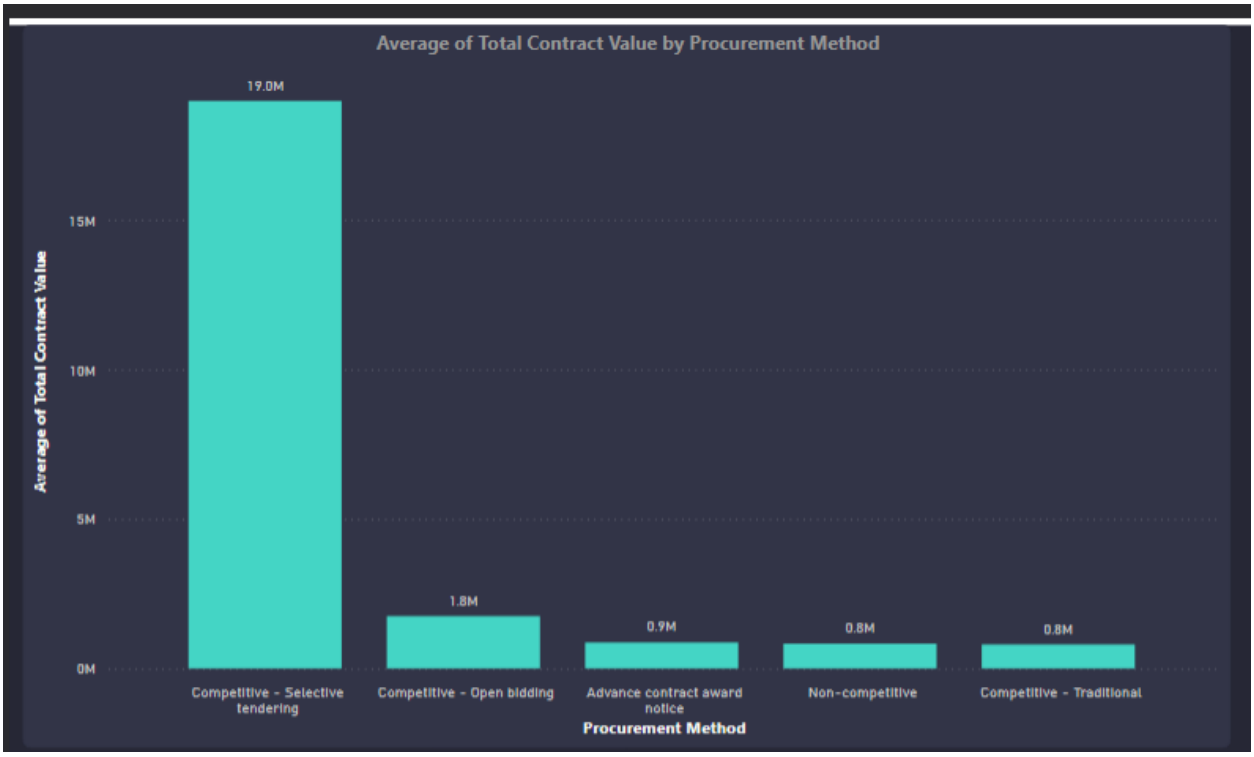


This could indicate a risk of contracts being rushed through without adequate planning or needs assessment, potentially leading to suboptimal procurement outcomes or even control weaknesses. An audit could investigate whether these year-end contracts were genuinely needs-based and followed proper procedures.

Hypothesis 4: *Contracts awarded using non-competitive methods have significantly higher average total Contract Value compared to contracts awarded competitively.*

The analysis for Hypothesis 4 disproves the initial assumption that non-competitive contracts would have a significantly higher average total contract value.

Supporting Evidence: As shown in the bar chart, the average total contract value for non-competitive contracts is approximately $0.8 million, which is substantially lower than the $19.0 million average for Competitive - Selective tendering and the $1.8 million average for Competitive - Open bidding.

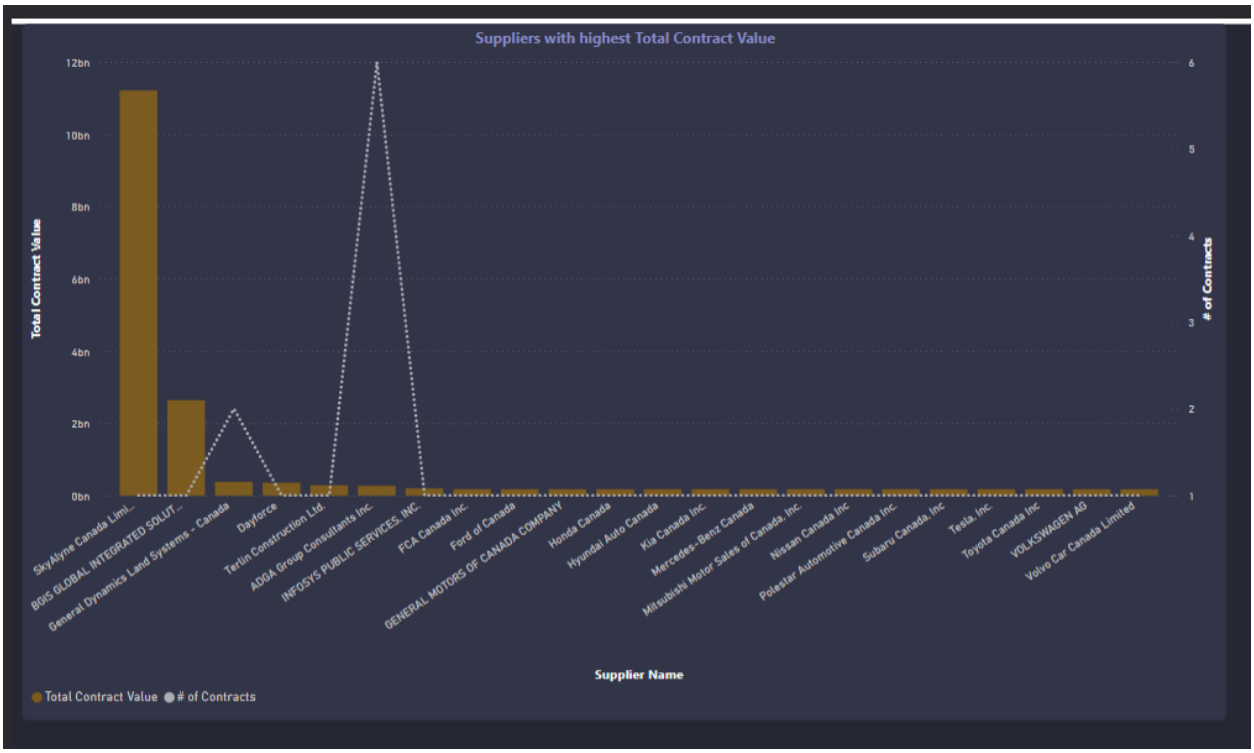


This finding suggests that while non-competitive contracts may present other risks, they are not primarily used for high-value procurements. The focus on high-value contracts should be directed toward the competitive tendering categories, particularly Selective tendering.

Hypothesis 5: *There is a concentration of high-value contracts awarded to a small number of suppliers, potentially indicating a lack of competition or preferred supplier relationships.*

The analysis for Hypothesis 5 confirms that there is a significant concentration of high-value contracts awarded to a very small number of suppliers.

Supporting Evidence: As shown in the chart, the supplier Skyleyne Canada Limited Partnership stands out with a total contract value of over $11 billion, dwarfing all other suppliers. While many suppliers received a single contract, their total contract values are negligible in comparison. This indicates that a small number of suppliers are capturing the vast majority of contract value.



This pattern suggests a potential lack of competition for these high-value contracts or the existence of a limited number of suppliers with the capacity to fulfill them. This warrants further investigation into the procurement methods used for these contracts to ensure that they are justified and were subject to a fair and open competitive process where possible.

4.0 Recommendations

Based on the findings, the following actions are recommended:

- Implement stricter controls at Public Services and Procurement Canada (PSPC) and a more rigorous review process for all non-competitive contracts above a certain value threshold to ensure proper justification and value for money.
- Conduct a detailed audit of contracts awarded in the final month of the fiscal year. This investigation should seek to understand the justification for these contracts and assess whether the procurements followed standard processes.
- Perform a formal audit on Public Works and Government Services Canada and Export Development Canada (EDC) to assess their adherence to procurement policies, particularly concerning contract value thresholds and competitive bidding.

- Adopt a data analytics tool to continuously monitor procurement data for trends, anomalies, and potential risks in real-time, moving from reactive to proactive auditing.

5.0 Conclusion

This data-driven audit provides critical insights into the federal government's contract spending. The findings highlight areas of potential risk and non-compliance, particularly concerning non-competitive contracts and year-end spending. By implementing the recommendations outlined in this memo, the government can enhance procurement transparency, strengthen internal controls, and ultimately improve value for money.